Practice workbook · Where does this item go in the financial statements?

Naming or ticking the statement and section (income statement, non-current or current asset or liability) for a single balance or a list of items.

19 question parts: 1 worked-example retry and 18 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-FS-06

1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

2 Jeff is a manufacturer of motor vehicles.

(a) Define the following terms:

(3)

raw materials

work in progress

finished goods.

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1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

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QUESTION 2 (b) BEGINS ON THE NEXT PAGE.

1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

Jeff provided the following information for the year ended 31 December 2019.

	1 January $	31 December $
Inventory		
Finished goods	25 500	31 750
Raw materials	18 750	16 250
Work in progress	21 570	18 590
Factory machinery		
Cost	90 000	90 000
Provision for depreciation	43 920	**To be calculated**
Carriage inwards		8 955
Insurance		12 500
Heat, light and power		37 250
Purchases of raw materials		238 795
Production wages		98 000
Supervisor wages		28 575
Royalties		50 000

- Insurance, heat, light and power are apportioned between the factory and the office in the ratio of 80:20
- Heat, light and power paid in advance, $1 750
- Production wages for workers owing, $1 250
- Supervisor wages owing, $2 325
- Depreciation for factory machinery is charged at 20% per annum using the reducing balance method.

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1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

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(b) Prepare the manufacturing account for the year ended 31 December 2019.

(11)

Jeff

Manufacturing account for the year ended 31 December 2019

OLevels.com SCHOOL

1. Question 2 · part c · 6 marks

2020 JAN · Paper 02

Worked-example retry · Attempt part c only.

(c) State, indicating with a tick, (✓), where **each** item will be shown in the statement of financial position.

(6)

	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Accumulated depreciation				
Bank loan 2026				
Work in progress				
Bank overdraft				
Other receivables				
Provision for irrecoverable debts				

(d) Evaluate why it is necessary for a business to account for **other receivables** and **other payables**.

(5)

(Total for Question 2 = 25 marks)

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1. Question 2 · part c · 6 marks · Working and answer

Working and answer

OLevels.com SCHOOL

2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

16 (a) State **two** benefits of maintaining a petty cash book.

(2)

1 .....

2 .....

Sven maintains a petty cash book with a float of $150

The following transactions took place during August 2022.

August	Voucher number	Transaction	$
5	1201	Paid employee's travel expenses	14.00
12	1202	Purchased postage stamps	26.80
16	1203	Paid Fabrizi, a credit supplier	30.00
19	1204	Paid parcel post	45.00
24	1205	Paid taxi fare	9.60
31		Restored the petty cash float	**To be calculated**

(b) Prepare the petty cash book for the month ended 31 August 2022.

Balance the petty cash book on that date and bring the balance down on 1 September 2022.

(9)

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2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

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Petty Cash Book

Receipts $	Date 2022	Details	Voucher number	Total $	Travel $	Postage $	Ledger $

OLevels.com SCHOOL

P 6 5 8 8 6 A 0 1 5 2 4

2. Question 16 · part c.ii · 1 mark

2023 JAN · Paper 01

Further practice · Attempt part c.ii only.

(c) (i) State whether the imprest amount restored would be shown on the debit side or the credit side of the main cash book.

(1)

.....

(ii) State where in the statement of financial position the petty cash book balance on 1 September 2022 will be shown.

(1)

.....

(iii) State **two** reasons why the balance in the petty cash book may be different to the amount in the petty cash box.

(2)

1 .....

2 .....

(Total for Question 16 = 15 marks)

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OLevels.COM SCHOOL

Working and answer

3. Question 2 · part whole · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part whole only.

2 Identify how the closing balance on a petty cash book is classified in the financial statements.

- ☒ **A** Current asset
- ☒ **B** Current liability
- ☒ **C** Non-current asset
- ☒ **D** Non-current liability

(Total for Question 2 = 1 mark)

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Working and answer

OLevels.com SCHOOL

4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

15 Suda maintains a three-column cash book.

On 1 April 2020 the balances were cash in hand, $85, and bank overdraft, $540

The following transactions occurred during April 2020.

April	Transaction
4	Paid a cheque to Flolite after taking a cash discount of 3% in full settlement of its account balance of $400
8	Sold goods for cash, $855
14	Paid cash into the bank, $900
16	Paid cash for stationery, $26
24	Received a cheque from Kai, $735, net of a cash discount of 2%
29	Paid wages by cheque, $418
30	Paid electricity by standing order, $600

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(a) Prepare the cash book for the month of April 2020.

Balance the cash book on 30 April 2020 and bring the balance down on 1 May 2020.

(14)

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4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

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Cash Book

Date 2020	Details	Discount allowed $	Cash $	Bank $	Date 2020	Details	Discount received $	Cash $	Bank $

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4. Question 15 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

(b) State whether the bank balance at 30 April 2020 is an asset or a liability.

(1)

.....

(Total for Question 15 = 15 marks)

DO NOT W

Working and answer

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5. Question 17 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

17 (a) Complete the corrected trial balance.

(9)

	Draft trial balance		Corrected trial balance	
Account	**Debit $**	**Credit $**	**Debit $**	**Credit $**
Bank overdraft	1 830			
Carriage inwards		710		
Carriage outwards	1 220			
Discount allowed		420		
Discount received		300		
Drawings		6 200		
Equity		16 600		
General expenses	5 950			
Inventory	5 350			
Irrecoverable debts		250		
Non-current assets – accumulated depreciation		5 900		
Non-current assets – cost	15 050			
Purchases	34 280			
Rent and rates	3 650			
Returns inwards		530		
Returns outwards		980		
Revenue		65 570		
Trade payables	3 510			
Trade receivables		2 180		
Wages	18 900			
Total				

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5. Question 17 · part c · 4 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(b) Identify the accounting concept being applied in each of the following scenarios.

(2)

Scenario	Accounting concept
A computer purchased for personal use should be charged to drawings.	
The purchase of a new calculator for $40 should not be charged to non-current assets.	

(c) Complete the table by indicating with a tick (✓) in which section of the financial statements each cost would be shown.

(4)

Item	Expense	Income	Current asset	Current liability
Irrecoverable debts				
Provision for irrecoverable debts				
Provision for irrecoverable debts – decrease				
Provision for irrecoverable debts – increase				

(Total for Question 17 = 15 marks)

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5. Question 17 · part c · 4 marks · Working and answer

Working and answer

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6. Question 8 · part whole · 1 mark

2021 JUN · Paper 01

Further practice · Attempt part whole only.

8 Identify where the balance of the irrecoverable debts account is transferred to at the year end.

- ☒ **A** Income statement
- ☒ **B** Statement of financial position
- ☒ **C** Trade payables ledger
- ☒ **D** Trade receivables ledger

(Total for Question 8 = 1 mark)

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Working and answer

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7. Question 12 · part c · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part c only.

12 At 30 September 2020 the balance of Rashida's trade receivables ledger control account was $39 650. A debt of $730 due from Lee was irrecoverable.

(a) Prepare a journal entry in Rashida's books to write off the irrecoverable debt. A narrative is not required.

(2)

Date	Account	Debit $	Credit $
30/09/20			

Rashida maintains a provision for irrecoverable debts of 5% of trade receivables.

At 1 October 2019 the balance of the provision for irrecoverable debts account was $1 635.

(b) Calculate the increase or decrease in the provision for irrecoverable debts at 30 September 2020.

(2)

(c) State in which section of the statement of financial position the provision for irrecoverable debts would appear.

(1)

(Total for Question 12 = 5 marks)

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Working and answer

8. Question 13 · part c · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part c only.

13 (a) State **one** accounting concept applied when making a provision for irrecoverable debts.

(1)

(b) State **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

(c) Identify, indicating with a tick (✓), in which section of the financial statement each would appear.

(2)

	Income statement		Statement of financial position	
	Income	**Expenses**	**Current assets**	**Current liabilities**
Decrease in provision for irrecoverable debts				
Balance of provision for irrecoverable debts account				

(Total for Question 13 = 5 marks)

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8. Question 13 · part c · 2 marks · Working and answer

Working and answer

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9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

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9. Question 17 · part c.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.i only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

.....

(ii) Balance on the provision for irrecoverable debts account

(1)

.....

(Total for Question 17 = 15 marks)

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Working and answer

10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

17 Ashok maintains a three-column cash book.

On 1 March 2023 the balances were: cash $150, bank $2 720

The following transactions took place during March 2023.

March 2023	Transaction
8	Paid CPD, $992, by cheque in full settlement of an invoice of $1 009
19	Paid window cleaner by cash, $22
21	Received notice from the bank that a cheque from Tom, $310, had been dishonoured.
23	Received a credit transfer from Barnaby in full settlement of an invoice for $1 900. The receipt was after taking a 5% cash discount.
25	Sold goods for cash, $385
31	Banked cash, $225

(a) Complete the three-column cash book on page 21. Balance the cash book on 31 March 2023 and bring the balances down on 1 April 2023.

Dates and details **must** be shown.

(10)

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10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

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Cash Book

Date 2023	Details	Discount $	Cash $	Bank $	Date 2023	Details	Discount $	Cash $	Bank $
March 1	Balance b/d		150	2720					

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10. Question 17 · part c.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c.ii only.

(b) Identify the accounting concept being applied in **each** scenario.

(3)

Scenario	Accounting concept
A customer's debt is written off as irrecoverable.	
The business uses the same method of depreciation each year.	
The business will continue for the foreseeable future.	

(c) State in which financial statement **each** would appear.

(i) Irrecoverable debt written off

(1)

.....

(ii) Balance on the provision for irrecoverable debts account

(1)

.....

(Total for Question 17 = 15 marks)

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Working and answer

11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

18 (a) Explain **one** difference between an irrecoverable debt and a provision for irrecoverable debts.

(2)

Xi provided the following information at 1 May 2022

Account	$
Trade receivables	18 600
Provision for irrecoverable debts	744

(b) Calculate the rate of the provision for irrecoverable debts.

(1)

On 30 April 2023 trade receivables were $21 500

An irrecoverable debt of $750 was to be written off.

(c) Calculate at 30 April 2023:

(i) trade receivables

(1)

(ii) provision for irrecoverable debts.

(1)

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11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

(iii) Prepare the provision for irrecoverable debts account for the year ended 30 April 2023. Balance the account on this date and bring the balance down on 1 May 2023.

(4)

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$

(d) Identify, indicating with a tick (✓), where the balance of each account would be shown in a statement of financial position.

(2)

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation				
Provision for irrecoverable debts				

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11. Question 18 · part d · 2 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

(e) Explain why the prudence concept applies when creating a provision for irrecoverable debts.

(3)

(f) State **one** way in which Xi could reduce his irrecoverable debts.

(1)

(Total for Question 18 = 15 marks)

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11. Question 18 · part d · 2 marks · Working and answer

Working and answer

OLevels.com SCHOOL

12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

15 Maura provided the following information.

	$
At 1 March 2023	
Trade payables ledger balance	28 120
For the month ended 31 March 2023	
Cash purchases	4 660
Credit purchases	177 750
Contra/set off to trade receivables ledger	730
Discount allowed	960
Discount received	610
Interest charged by suppliers	120
Payments to credit suppliers	165 740
Returns inwards	340
Returns outwards	570

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12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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(a) Prepare the trade payables ledger control account for the month ended 31 March 2023. Balance the account on this date and bring the balance down on 1 April 2023.

(8)

Trade Payables Ledger Control Account

Date	Details	$	Date	Details	$

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(b) State **one other** item that may appear in a trade payables ledger control account.

(1)

.....

(c) State in which section of the statement of financial position the balance of a trade payables ledger control account would appear.

(1)

.....

12. Question 15 · part c · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

(d) Explain **two** benefits to Maura of maintaining a trade payables ledger control account and advise her whether she should continue to prepare it.

(5)

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(Total for Question 15 = 15 marks)

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12. Question 15 · part c · 1 mark · Working and answer

Working and answer

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13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

16 (a) State **two** reasons why a business maintains a petty cash book.

(2)

1 .....

.....

2 .....

.....

Juliet maintains a petty cash book with a float of $150

The following transactions took place during April 2020.

April	Voucher number	Transaction	$
5	401	Paid taxi fare	15.20
9	402	Purchased postage stamps	14.60
13	403	Paid employee travel expenses	25.00
22	404	Purchased envelopes	18.30
29	405	Paid cleaner's wages	30.00
30		Restored float to petty cash	**To be calculated**

(b) Prepare the petty cash book for the month ended 30 April 2020.

Balance the petty cash book on that date and bring the balance down on 1 May 2020.

(11)

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13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

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Petty cash book

Receipts $	Date 2020	Details	Voucher number	Payments $	Cleaning $	Stationery $	Travel $	Postage $

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P 6 3 0 1 1 A 0 1 3 2 0

Turn over ▶

13. Question 16 · part d · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part d only.

(c) State **one** reason why the balance of the petty cash book at 1 May 2020 may be different to the cash held.

(1)

.....

.....

(d) State where in the statement of financial position at 1 May 2020 the balance of the petty cash book would be shown.

(1)

.....

.....

(Total for Question 16 = 15 marks)

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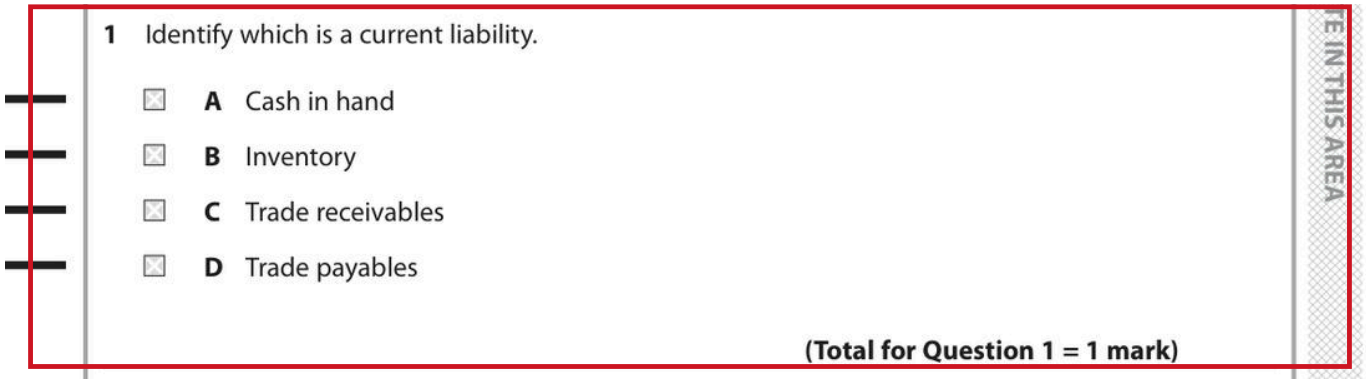
OLevels.com SCHOOL

Working and answer

14. Question 1 · part whole · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part whole only.



1 Identify which is a current liability.

- ☒ **A** Cash in hand
- ☒ **B** Inventory
- ☒ **C** Trade receivables
- ☒ **D** Trade payables

(Total for Question 1 = 1 mark)

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Working and answer

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15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

15 Martina, a retailer, maintains a full set of accounting records.

On 1 April 2022, Martina owed Rafa $640 for goods supplied.

During April 2022, the following transactions took place between Martina and Rafa.

April 2022	Transaction
12	Purchased goods, list price $850, less a trade discount of 20%
19	Returned goods, list price $100, from the order received on 12 April 2022
29	Paid the balance owing at 1 April 2022 by credit transfer after taking a cash discount of 5%

(a) State the book of original entry for **each** transaction.

(3)

April 2022	Book of original entry
12	
19	
29	

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15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

(b) (i) Prepare the account of Rafa for the month of April 2022. Balance the account on 30 April 2022 and bring the balance down on 1 May 2022.

(6)

Rafa Account

Date 2022	Details	$	Date 2022	Details	$

(ii) State in which section of the statement of financial position at 30 April 2022 the balance of Rafa's account would appear.

(1)

.....

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15. Question 15 · part b.ii · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part b.ii only.

Martina currently offers only cash sales and proposes to offer credit terms to her customers.

(c) Evaluate whether Martina should proceed with this proposal.

(5)

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(Total for Question 15 = 15 marks)

Working and answer

16. Question 16 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

16 (a) State **two** advantages of preparing a bank reconciliation statement.

(2)

1 .....

2 .....

On 28 February 2022 Nabil's bank statement showed a credit balance of $135
On the same date the cash book showed a credit balance of $180

The following had not been entered in the cash book:

- a direct debit for telephone, $42
- a dishonoured cheque from Barjey Ltd, $668
- a credit transfer from BX Trading, $475
- cash sales banked, $295
- cheque drawn for cash, $120

(b) (i) Prepare the updated cash book to show the adjusted balance on 28 February 2022, bringing the balance down on 1 March 2022.

(6)

Cash Book - Bank Column

Date 2022	Details	$	Date 2022	Details	$
Feb 28			Feb 28		

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16. Question 16 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

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At 28 February 2022 the following had not yet been processed by the bank:

- unpresented cheques, $562
- outstanding lodgements, $187

(ii) Prepare a bank reconciliation statement at 28 February 2022.

(6)

Bank reconciliation statement at 28 February 2022

	$

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(c) State in which section of the statement of financial position at 28 February 2022 the bank balance would appear.

(1)

.....

(Total for Question 16 = 15 marks)

Working and answer

17. Question 18 · part b.i · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b.i only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

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17. Question 18 · part b.i · 1 mark · Working and answer

Working and answer

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18. Question 18 · part b.ii · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part b.ii only.

18 (a) Identify, indicating with a tick (✓), how **each** item of expenditure would be classified.

(4)

	Capital expenditure	Revenue expenditure
Purchase of inventory		
Purchase of machinery		
Installation of machinery		
Machine operator wages		

(b) State in which financial statement **each** would be shown.

(i) Capital expenditure

(1)

.....

(ii) Revenue expenditure

(1)

.....

On 1 May 2020 Xavier purchased two machines.

Xavier depreciates machinery at 30% per annum using the reducing balance method.

A full year's depreciation is charged in the year of purchase but none in the year of disposal.

(c) Calculate the depreciation charge for **each** machine for **each** year.

(4)

	Cost $	Depreciation charge for the year ended 30 April 2021 $	Depreciation charge for the year ended 30 April 2022 $
Machine A	28 000		
Machine B	36 000		

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

DO NOT WRITE IN THIS AREA

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18. Question 18 · part b.ii · 1 mark · Working and answer

Working and answer

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19. Question 17 · part c · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

17 (a) Explain **one** reason why a business may find it necessary to make a provision for irrecoverable debts.

(2)

.....

.....

.....

.....

(b) Identify, indicating with a tick (✓), the classification of each of the following in the statement of financial position.

(i) Rent expense prepaid

(1)

Other payables	
Other receivables	
Provision	

(ii) Wages accrued

(1)

Other payables	
Other receivables	
Provision	

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DO NOT WRITE IN THIS AREA

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19. Question 17 · part c · 3 marks

2021 JUN · Paper 01

Further practice · Attempt part c only.

DO NOT WRITE IN THIS AREA

(c) Complete the table below, indicating with a tick (✓) where each would appear in the statement of financial position.

(3)

	Current assets	Non-current assets	Current liabilities	Non-current liabilities
Other payables				
Other receivables				
Provision for irrecoverable debts				

(d) Complete the table below to show the source document and the book of original entry for **each** transaction.

(8)

Transaction	Source document	Book of original entry
Paid bank charges		
Returned damaged goods to a credit supplier		
Purchased a new motor vehicle on credit		
Payment to a supplier by credit transfer		

(Total for Question 17 = 15 marks)

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19. Question 17 · part c · 3 marks · Working and answer

Working and answer

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